China sanctions US defence firms, chip data provider in latest curbs

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Ji Siqi October 9, 2025

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Beijing has announced sanctions on a slew of Western companies and institutions in the defence and intelligence sectors – including a leading semiconductor data analysis provider – marking its latest salvo amid ongoing trade tensions with the United States.

Fourteen entities, mostly headquartered in the US, were added to Beijing's unreliable entity list on Thursday, banning them from trade and investment in China, according to a statement from the Ministry of Commerce.

Among the companies on the list is TechInsights, a Canada-based firm specialising in semiconductor intelligence, reverse engineering and market analysis.

Organisations and individuals in China are also prohibited from engaging in transactions, cooperation or other activities with the sanctioned entities, particularly data sharing and providing sensitive information to them, the statement said.

The move came after the ministry imposed a raft of new export controls on rare earth materials and related technologies on Thursday morning – ahead of an anticipated meeting between President Xi Jinping and his American counterpart Donald Trump in late October.
Xu Tianchen, senior China economist at the Economist Intelligence Unit, said Beijing's move could be seen as a way to gain leverage ahead of the coming meeting.

In a separate statement on Thursday, a commerce ministry spokesperson said the impacted entities "have engaged in so-called military-technical cooperation with Taiwan, made malicious remarks about China and assisted foreign governments in suppressing Chinese companies".

"[These actions] have severely undermined China's national sovereignty, security and development interests," the spokesperson said, adding the measures target only a "very small number of foreign entities that endanger China's national security, and law-abiding foreign entities have nothing to worry about".

"The Chinese government continues to welcome companies from around the world to invest and operate in China, and is committed to providing a stable, fair and predictable business environment for law-abiding foreign enterprises," the ministry said.

TechInsights drew attention last year when it published a detailed technical report on Huawei's most popular AI processor, the Ascend 910B, which is widely used in Chinese data centres.
According to its website, the company has produced over 1.5 million reports and 100,000 chip teardowns, serving more than 650 customers worldwide.

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Ding Shuang, chief Greater China economist at Standard Chartered, said Beijing's latest move reflects the complexity of China-US relations. "Both sides are likely to keep negotiating – it's not as if either intends to flip the table," he said.

The sanctioned entities also include counter-drone technology providers Dedrone by Axon and DZYNE Technologies. Halifax International Security Forum, a conference organiser, was also added to the list.

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